Legal Protection of Digital Property

Lecture 3

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1. Copying: s.23

- "copying" = reproducing in any material form, including
  - storing in any medium by electronic means: s.23(2), and
  - making copies which are transient or are incidental to some other use of the work: s.23(6)

NB. CO, s.65 permits transient and incidental copying technically required for internet browsing.

Substantial part

- test for substantiality is qualitative rather than quantitative ie. "substantial part" = material part from the qualitative point of view: *Ladbroke (Football) v William Hill* [1964] 1 WLR 273; *MS Associates v Power* [1988] FSR 242;
- if the part copied has originality, then it is a substantial part: *IceTV v Nine Network Australia* 80 IPR 451 (Aust HC, 2009) **(*RR)**

Causation

- if plaintiff can establish that
  - there are objective similarities between defendant's work and plaintiff's work that an ordinary reasonable man might infer copying; AND
  - defendant had opportunity to access plaintiff's work;

court may infer copying if defendant cannot give a satisfactory explanation: *Francis, Day & Hunter v Bron* [1963] Ch 587 **(*RR)**

- in some cases, if plaintiff's work is so "distinctive and idiosyncratic" or complex enough that the similarities cannot be due to mere coincidence, it may afford prima facie evidence to infer causal connection between plaintiff’s work and defendant’s work without proof of opportunity of access: *Francis, Day & Hunter v Bron* [1963] Ch 587

NB. Read also ss.23(3)-(5).

E1: X’s program contains 100 procedures. Y has copied 10 of them. Z has also copied 8 procedures from Y’s program, of which 5 are from X’s program. Any infringements?

E2: X, a former employee of Y, had written program A for Y under Y's employment. Later, X left Y and worked for Z. He has since written program B for Z. Except for differences in variable names, programs A and B are almost identical.

2. Issue of Copies to the Public: s.24

- issuing copies to the public = "putting into circulation copies *not* previously put into circulation, in HK or elsewhere, by or with the consent of the copyright owner" (also called "distribution right")

- does *not* include any subsequent distribution, sale or rental

NB. S.24 applies to *each* freshly made copy of a work. If the copies are sold out and *new* copies made and put into circulation for the first time, it is also issuing copies of the work to the public (despite there were copies put into circulation prior to this).

NB. S.24 applies to issuing lawful copies as well as infringing copies.

3. Rental of Work to the Public: s.25

- "rental" must be for direct or indirect economic or commercial advantage
- applies to
  - computer programs
  - sound recordings
  - films
  - literary, dramatic or musical works included in a sound recording

4. Performance, Playing or Showing of Work in Public: s.27)

- "performance" applies to literary, dramatic and musical works
  - includes delivery of lectures, addresses, speeches and sermons
  - includes any mode of visual or acoustic presentation eg. presentation by means of a sound recording, film, broadcast or cable programme

- "playing or showing" applies to sound recordings, films, broadcasts and cable programmes
- “in public” = not domestic nor quasi-domestic setting

NB. Displaying demo mode of a computer game is playing or showing the underlying films or sound recordings, but not the underlying program itelf (ie. the code).

5. Communicating to public: s.28A (enacted on 30/4/2023)

- "communication" = *electronic* communication, including
  1. broadcasting (ie. wireless telegraphy targeting the general public): s.28A(1)
  2. inclusion in cable programme service (ie. wired telegraphy targeting ≥ 2 places, or using whatever means for a specific place): s.28A(2)

3. making available of the work to the public (ie. making the work available, *by wire or wireless means*, such that the work is accessible from any place and at any time individually chosen by members of the public eg. uploading to the Internet: s.28A(3)) **NB. Irrelevant whether the work has actually been accessed!**

NB. Communication right is now the ground in HK for prohibiting streaming live football matches (and other videos) without authority.

E1: X, a school teacher, has bought a program for timetabling. He lends it to Y, his colleague in charge of timetabling, on condition that Y would schedule X's classes in such a way that X would have no class on Friday. Y later places a copy of the program in a newsgroup devoted to "efficient school administration". Z, a subscriber to the newsgroup, downloads and burns the program to several dozen CDs which he then gives to his colleagues. Any infringements?

6. Making Adaptation: s.29

- applies only to literary, dramatic and musical works

- if not computer program, "adaptation" =
  - translating from one language to another
  - converting from dramatic work into non-dramatic work and vice versa
  - conveying a story by pictures
  - arranging or transcribing a musical work

- for computer programs, "adaptation" = "an arrangement or altered version of the program or a translation of it": s.29(3)(b)
  - "translation" includes "a version of the program in which it is converted into or out of a computer language or code or into a different computer language or code": s.29(4)
  - eg. compiling, decompiling, assembling or disassembling a program, or translating a program into a different language

NB. "Alteration" of a program implies there are parts unaltered. In practice, easier for copyright owners to claim copying of the unaltered parts instead of alleging adaptation of the altered parts.

7. Act Done in Relation to an Adaptation (CO, s.29(2))

- copying an adaptation, issuing, renting or making available copies of an adaptation to the public is also a restricted act in respect of the original work (ie. infringes copyright in the original work)

E1: X's program in Pascal contains a procedure A. Y translates procedure A to the C language, renames the procedure as B and incorporates it in his own program. Later, Z copies 5 procedures from Y's program, including procedure B. Any infringement?

Meaning of “Authorisation" in CO, s.22(2)

- *CBS Songs v Amstrad Consumer Electronics* [1988] RPC 567 (HL) **(*RR)**
  - "sanctions, approves or countenances“
  - "a grant or purported grant, which may be express or implied, of the right to do the act complained of“
  - facilitating infringement does not imply authorising infringement!

- eg of authorising infringement
  - supplying film to a cinema for showing it in public where such showing infringes
  - commissioning the manufacture of furniture the design of which infringes
  - providing photocopiers in library without adequate notice to warn against infringement

- *University of New South Wales v Moorhouse* 6 ALR 193 (Aust HC 1975) on meaning of "authorisation": **(*RR)**
  - "court may infer an authorization or permission from acts which fall short of being direct and positive; . . . indifference, exhibited by acts of commission or omission, may reach a degree from which authorization or permission may be inferred.“ (per Jacobs J)

– "a person who has under his control the means by which an infringement of copyright may be committed… and who makes it available to other persons, knowing, or having reason to suspect, that it is likely to be used for the purpose of committing an infringement, and **omitting to take reasonable steps** to limit its use to legitimate purposes, would authorize any infringement that resulted from its use." (per Gibbs J) **("*Moorhouse* test")**

NB. Under s.22(2), authorisation applies only to primary infringements.

NB. Factors for authorisation set out in s.22(2A).

Secondary Infringements

- business dealings with **copies** *knowing, or having reasons to believe,* that the copies are infringing

NB. Ignorance that the copies being dealt with are infringing is a defence to *secondary* infringement!

- knowledge required is
  - *actual* knowledge, or
  - notice of facts such as would suggest to a reasonable man that a breach of copyright was being committed ("*constructive* knowledge"): *LA Gear v Hi-Tec* [1992] FSR 121

- generally, a copy is "infringing" if
  - its making constituted an infringement (for locally made copies):CO, s.35(2), or
  - it has been or proposed to be imported into HK and its making in HK would have constituted infringement or a breach of an exclusive licence **("hypothetical manufacture test")**: CO, s.35(3)

E1: X is the copyright owner of a book. Y makes copies of the book in Mainland China. Y is not a licensee of X anywhere in the world. These copies are now sold in HK. Copies "infringing"?

E2: As in E1. Y is the authorised exclusive supplier of the book in Mainland China.

E3: As in E2. Y is also the authorised exclusive supplier of the book in HK.

NB. Read s.35A (added in 2003):

- **copies of computer programs lawfully made outside HK ("parallel imports") are NOT infringing despite s.35(3);**
- **this is so whether or not there is an exclusive licensee in HK!**

NB. Copies of computer programs not lawfully made outside HK still subject to s.35(3).

Recommended Reading

- IceTV v Nine Network Australia 80 IPR 451 (Aust HC, 2009)
- Francis, Day & Hunter v Bron [1963] Ch 587
- CBS Songs v Amstrad Consumer Electronics [1988] RPC 567 (HL)
- University of New South Wales v Moorhouse 6 ALR 193 (Aust HC 1975)